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Refund / OCT Life Cycle

Learn about Transaction Fraud for PSPs' refund / original credit transaction (OCT) life cycle and understand what happens in each refund's stage.

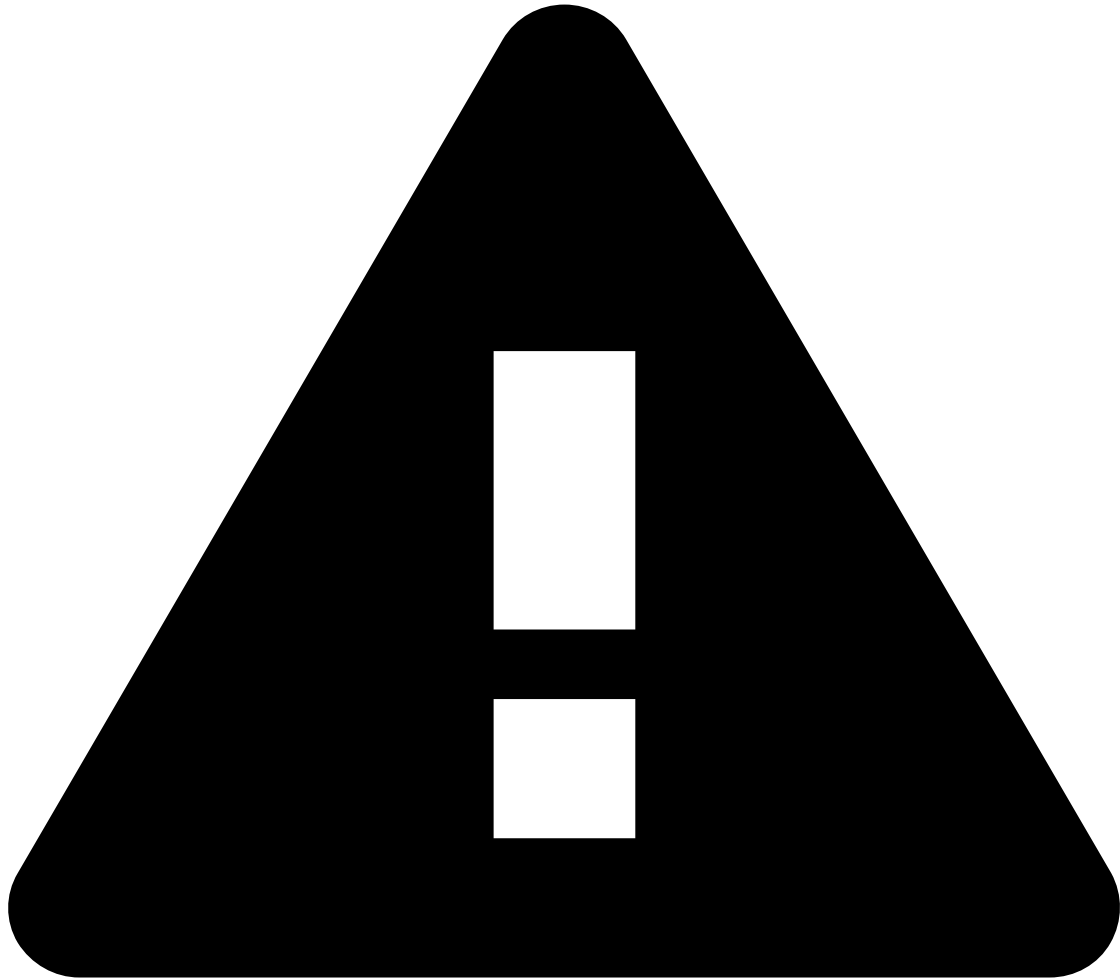
For the sake of the refund / OCT use case, the life cycle begins after the customer paid for the goods.

1. The merchant delivers goods to the customer.
2. The customer receives the goods.
3. Funds are settled.
4. The customer requests a refund (e.g. the good hasn't been delivered to their address) or an OCT (e.g. the merchant passes gambling winnings back to the card used to place the bet).
5. The Payment Service Provider (PSP) calls Feedzai's Payments API to score the refund / OCT.



info

Endpoint: The PSP makes this by invoking the *Info* POST endpoint. This request is registered in the `info_type` with the `refund` or `oct` value.



caution

PUT vs POST: Note that the Info endpoint accepts two methods: POST and PUT. Any INFO event with `info_type=refund/oct` sent as a POST will return a decision outcome and alert flag, whereas an INFO event sent as a PUT will merely ingest the event into Feedzai's system for displaying purposes and metric calculations.

6. Feedzai's risk engine processes and scores the refund / OCT in real time, and sends the recommendation (Approve/Decline) to the PSP. Note that the event can be alerted regardless of the system decision's recommendation (see step 10).
7. The PSP makes an automated decision based on the risk engine recommendation (auto-approve or auto-decline).
8. The merchant receives the `approve` or `decline` message.
9. If the request is approved, the customer receives the refund / OCT.
10. Fraud prevention agents review alerted refunds / OCTs at any time as a post-mortem analysis to provide feedback on fraud/not fraud decisions and improve scoring of subsequent refunds / OCTs.



info

Endpoint: This decision is registered in the `feedback_value` field as true or false for `fraud` and `not_fraud`, respectively.